

Investment thesis 1: AI is a hardware boom, and Asia builds the hardware

Our three markets own the chokepoints



Taiwan: makes the chips

- High-performance computing (incl. AI) was 58% of TSMC revenue in 2025
- TSMC is >40% of the TAIEX: our largest index is a chip index

~70%
TSMC share of global
foundry revenue (Q1 2026)



Korea: makes the memory

- Every AI accelerator needs high-bandwidth memory (HBM)
- Samsung + SK hynix ≈ 48% of KOSPI market cap (verify)

83%
SK hynix (50%) + Samsung (33%)
share of HBM revenue (Q2 2026)



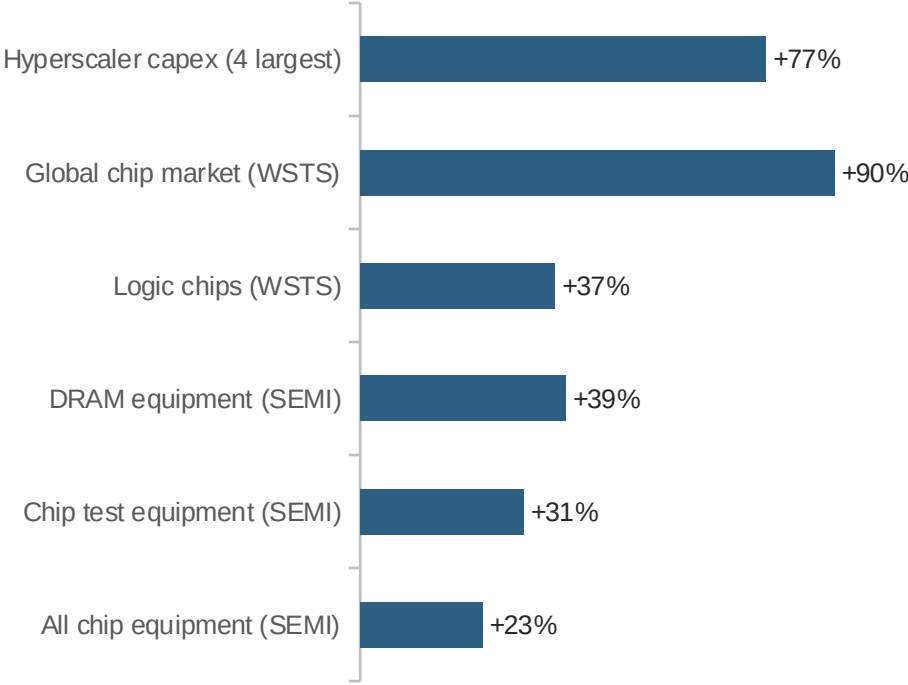
Japan: makes the tools

- Tokyo Electron ~90% of coater/developers; #3 equipment maker
- Advantest + Tokyo Electron ≈ 20% of the Nikkei 225 (Jul 2026)

~55%
Advantest share of chip
test equipment

2026: spending is surging

2026 growth vs 2025 (forecast / guidance)

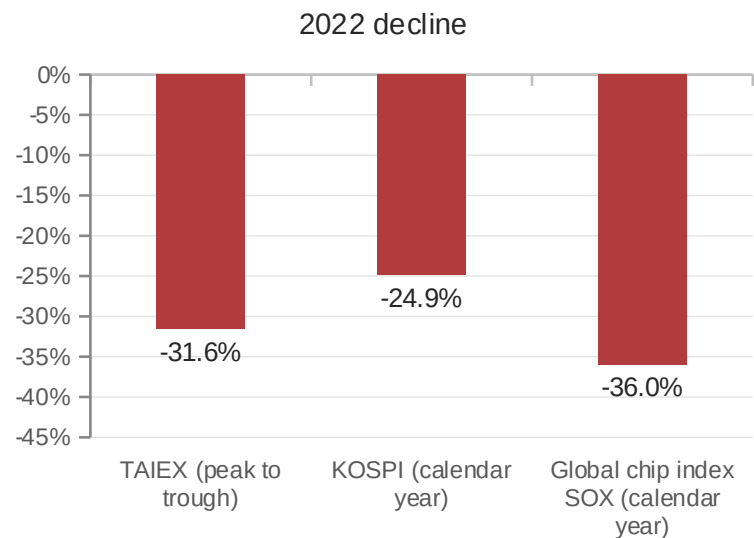


Sources: Counterpoint (foundry Q1 2026; HBM Q2 2026); TSMC 2025 results; Trading Economics / Focus Taiwan (TSMC weight); BIT Research (KOSPI weight); company reports and SEMI (TEL, Advantest); Nikkei index summary 17 Jul 2026; company guidance after Q1 2026 (capex); WSTS Spring 2026; SEMI mid-year forecast 14 Jul 2026. Full list in appendix.

We buy the picks and shovels: whichever AI model wins, it needs Taiwan's chips, Korea's memory and Japan's tools.

Investment thesis 2: Chip cycles are violent, so own the theme with protection

The last down-cycle (2022)



Chip stocks fell 25–36% in a single year when the inventory cycle turned. A direct investor would have needed a 33–56% rally just to get back to even.

2026: the boom is priced in

~2x

KOSPI in 2026: ~+100% YTD, crossed 9,000 (Jun 2026), then two violent single-day crashes

>40%

TSMC's weight in the TAIEX: one stock drives the index

12%

Advantest's Nikkei 225 weight (Jul 2026): above the 10% cap, so Nikkei is cutting it

-4%

Nikkei fall in a chip-led selloff, mid-July 2026

Tailwind: governance reform

Japan

TSE's 2023 push on companies below 1x book: record buybacks (¥18.7trn FY2024, ~¥20trn forecast FY2025); share of Prime firms below 1x P/B down from ~50% to 44%

Korea

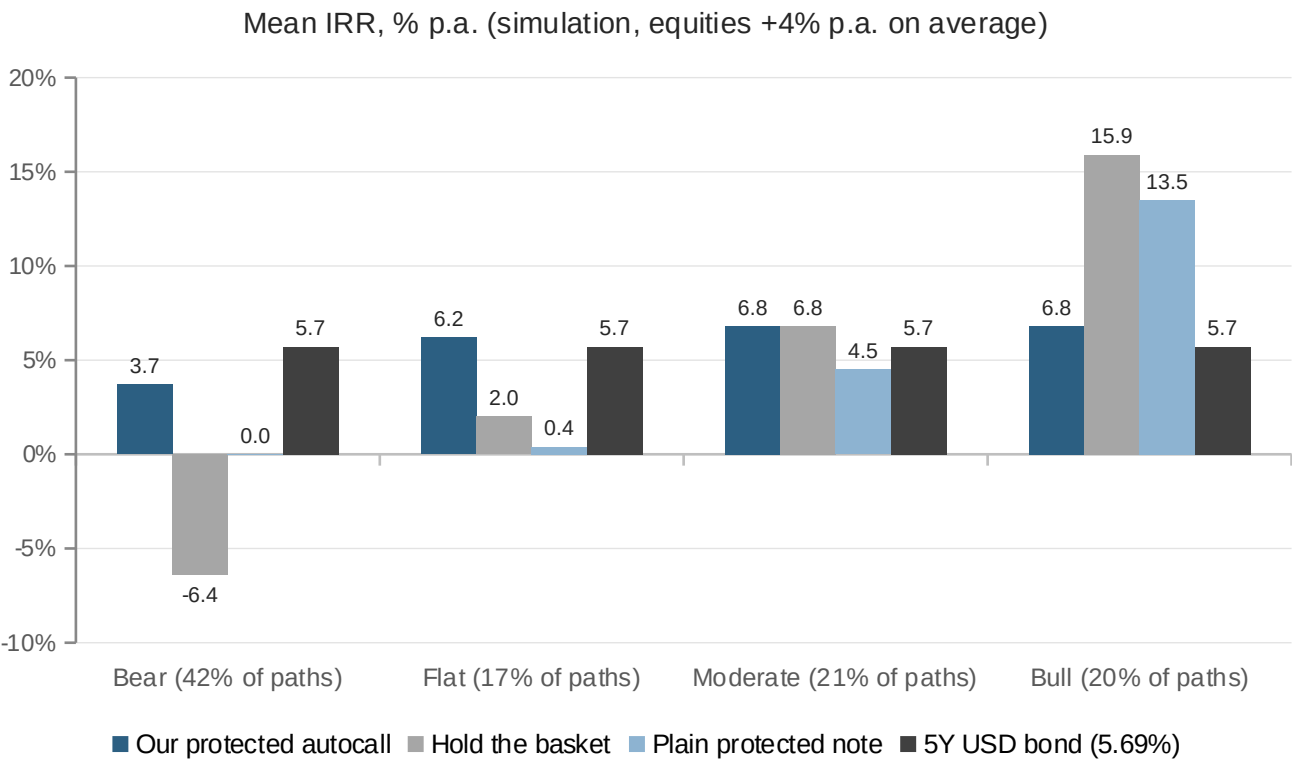
Corporate Value-up Programme (Feb 2024): Korea Value-Up Index beat KOSPI 200 by >30% from late 2024 to Feb 2026

Sources: TWSE 2022 market highlights; Korea Times / Yonhap (KOSPI 2022); Bloomberg via BNN (SOX 2022); BIT Research (KOSPI 2026, verify on Bloomberg); Trading Economics (TSMC weight, Jul 2026); Nikkei Asia (Advantest weight cap); Nikkei index summary; Asset Management One via portfolio institutional (Japan buybacks); AllianceBernstein (Korea Value-Up Index).

Keep the AI exposure, hand the drawdown to Natixis: 100% capital protection, and a coupon that needs only a recovery to 100%.

Investment thesis 3: An autocallable beats the usual ways to own this theme

Average annual return by type of market (5 years)



Our Monte Carlo (pricing/scenario2_vs_traditional.py): TAIEX 40% / KOSPI 200 30% / Nikkei 225 30%, real-world equity drift 4% p.a.; protected note participation 101%. Market regime = basket's own 5Y annualised total return. Early-called notes are not assumed to be reinvested. SRP = StructuredRetailProducts.com.

Same 100,000 paths, summary

Strategy	Mean	Median	Loss risk	Worst 5%
Our protected autocall	5.4%	6.8%	0%	0.0%
Hold the basket	2.3%	1.9%	42%	-12.4%
Plain protected note	3.7%	0.0%	0%	0.0%
5Y USD bond (5.69%)	5.7%	5.7%	0%	5.7%

Why it works

- Pays in sideways markets: 6.2% vs 2.0% for the stocks when the basket goes nowhere
- Volatility raises the chance of touching 100%, so it funds the coupon instead of hurting the family
- Market evidence: Taiwan structured-note issuance +81% in 2025, snowball autocalls the favourite payoff (SRP)
- Honest caveat: a 5Y bond earns more in bear markets, but gives no AI exposure

Best way to own the theme: equals or beats the stocks in 3 of 4 markets, beats a plain protected note in 3 of 4, and never loses capital.

Appendix: sources for the investment thesis

Fact used	Source
TSMC ~70–73% of global foundry revenue (Q1 2026); HPC 58% of 2025 revenue	Counterpoint Research via press; TSMC results (verify in TSMC Q-reports)
TSMC >40% of TAIEX market value (2026)	Trading Economics (28 Jul 2026); Focus Taiwan (May 2026)
HBM revenue share Q2 2026: SK hynix 50%, Samsung 33%, Micron 18%	Counterpoint Research, Global DRAM and HBM Market Share (quarterly)
Advantest ~55–58% of chip test equipment; TEL ~90% of coater/developers	Industry research summaries; verify in TEL and Advantest annual reports
Advantest 12.2% / TEL ~9–10% of Nikkei 225; weight cap from 1 Oct 2026	Nikkei Asia announcement; Nikkei index summary (17 Jul 2026)
Hyperscaler capex ~USD 725bn in 2026, +77% y/y	Company guidance after Q1 2026 earnings, as reported by AI Weekly / Yahoo Finance
Chip market ~USD 1.5trn in 2026 (+90%); logic +37%	WSTS Spring 2026 forecast (2 Jun 2026), wsts.org
Equipment USD 165.9bn (+23.2%); DRAM equip. +39%; test +31%	SEMI mid-year forecast (14 Jul 2026), semi.org
2022: TAIEX –31.6% peak to trough; KOSPI –24.9%; SOX –36%	TWSE 2022 Market Highlights; Korea Times / Yonhap; Bloomberg via BNN
KOSPI ~+100% YTD, above 9,000 (18 Jun 2026); Samsung + SK hynix ~48% of market cap	BIT Research, 'The KOSPI supercycle' (single source: verify on Bloomberg)
Japan buybacks ¥18.7trn FY2024, ~¥20trn forecast FY2025; P/B<1 share ~50% → 44%	Asset Management One via portfolio institutional; investment-manager commentary
Korea Value-Up Index beat KOSPI 200 by >30% (late 2024 – 27 Feb 2026)	AllianceBernstein, 'South Korea's rising governance tide'
Taiwan structured notes 2025: ~75,900 products, +81%; snowball autocalls favoured	StructuredRetailProducts.com, Taiwan Q4 2025 review
Strategy comparison, coupon pricing, call probabilities	Team Monte Carlo: pricing/scenario2_vs_traditional.py, scenario2_autocall_mc.py

Several figures are forecasts or third-party estimates; numbers marked 'verify' come from a single secondary source. Full URLs: [deck/thesis_sources.md](#).